Swiggy

Case Study

Fixing the Leaking Bucket: A Business Analyst Perspective

By Vikram | Source: Google Search / Independent Study

BACKGROUND & PROBLEM STATEMENT

What's Going On?

Swiggy is a top food delivery app in India. Despite millions of orders every day, there's a hidden problem: many customers order once or twice and then disappear. Money is being spent to attract users, but they're leaving just as fast as they arrive — the classic "leaking bucket" problem.

40%

of new users don't order again within 30 days

65%

of returning users only come back when a promo code is offered

18%

rise in support tickets about bad delivery experience (QoQ)

Silos

Restaurant & Customer teams have no shared success metric

Vanity

"Orders/Day" looks healthy but revenue per user is falling

1. THE SYSTEM MAP — Understanding the "Leaking Bucket"

KEY PLAYERS

- Customers (New & Reactivated)
- Marketing Team (Discounts)
- Restaurant Partners
- Delivery Fleet
- Onboarding & CX Teams

HOW THEY CONNECT

- Marketing over-compensates for poor service
- Discounts bring users IN, but bad deliveries push them OUT
- 18% rise in delivery complaints shows the gap
- Restaurant quality and delivery speed directly affect repeat orders

WHAT THE SYSTEM SHOULD DO

- Provide reliable, fast food delivery every time
- Move from a 'Subsidy Engine' → 'Reliable Convenience Engine'
- Align Users, Restaurants & Fleet under ONE quality goal
- Earn habits, not just transactions

2. FEEDBACK LOOPS — Breaking the Vicious Cycle

🔴 CURRENT: The Vicious Loop

1. High customer churn after first order
2. Team responds with more discount promos
3. Only deal-hunters come back (not genuine fans)
4. Low loyalty & low lifetime value per user
5. Churn happens again → loop restarts

Goal: Break this loop by reducing flat discounts

🟢 FUTURE: The Virtuous Loop

1. High 'Perfect Order Rate' (on-time, correct, tasty)
2. Users trust Swiggy → start ordering habitually
3. Habit forms → users become price-insensitive
4. High LTV customers → less promo needed
5. Savings reinvested in service quality → loop grows

Goal: Build trust through reliability + subscriptions

3. NORTH STAR METRIC — Measuring What Actually Matters

❌ Current Goal: Orders Per Day

Why it's flawed:
- This is a 'vanity metric' — it can be artificially inflated using discount campaigns.
- It hides the real problem: Revenue Per User is actually falling.
- Orders going up while money per user goes down = the business is getting busier but not healthier.

Replace with

✅ New North Star: 30-Day Healthy Repeat Rate

What it means:
% of new users who place 2+ orders within their first 30 days — WITHOUT needing a promo code.

Why it's better:
- Measures genuine habit, not discount-driven behaviour.
- Shows whether the product is truly delivering value.
- Forces all teams to focus on quality, not just volume.

💡 Simple Analogy

Think of Swiggy like a restaurant. A busy restaurant that fills seats with free-meal vouchers looks successful — but isn't. The real question is: how many people come back and pay full price? That's what the 30-Day Healthy Repeat Rate measures.

4. LEADING vs LAGGING INDICATORS

Leading = Early warning signals (tell you what WILL happen) | *Lagging = Confirmation signals (tell you what ALREADY happened)*

🔭 LEADING INDICATORS (Predictive)

Perfect Order Rate (POR)

% of orders that arrive on time, are correct, and rated highly. If this drops, churn will follow in a few weeks.

App Opens in Days 1–7

How often a brand-new user opens the app in their first week. High frequency = likely to order again. Low = about to disappear.

📊 LAGGING INDICATORS (Retrospective)

Monthly Active User (MAU) Churn

Shows how many users have already gone inactive. Useful for reporting but you can't fix what's already happened.

Net Revenue Retention (NRR)

Measures the revenue health of an older user cohort. Important for finance, but only confirms the damage after it occurred.

5. THE STRATEGY CASCADE — From Vision to Features

VISION

"India's most trusted hyperlocal companion"

Shift from “Cheap Food App” → “India’s Most Trusted Hyperlocal Companion.” Become the app people rely on for daily life convenience — food, groceries, and more. Align all three sides of the marketplace (Users, Restaurant Partners, Delivery Fleet) under one quality goal.

BUSINESS GOAL

Earn habits, not just orders

Move from “Buying Volume with Discounts” → “Earning Habit” through unit-economic-positive retention. Transition the platform from a Subsidy Engine to a Reliable Convenience Engine. Every marketing rupee should earn long-term loyal users, not one-time deal hunters.

NORTH STAR METRIC

30-Day Healthy Repeat Rate

% of new users who return and order again (without a promo) within 30 days. This is the clearest signal that the product is genuinely creating value.

PRODUCT OUTCOME

Convert 15% more first-timers into Power Users (4+ orders in Month 1)

If a new user reaches 4 orders, data shows they are 3× more likely to stay long-term. This is the 'magic number' Swiggy should chase for every new signup.

FEATURES

The 'Premium First 3 Orders' path + Free Delivery Trial

New users get top-rated restaurants & top-tier delivery partners for their first 3 orders. After Order #1, show a '30-day free delivery trial' — this bridges the gap to Order #4 and builds the habit.

6. OUTCOME MAPPING — The "Frictionless First Order" Opportunity

🎯 **Core Opportunity: Eliminate 'First-Order Disappointment' for all new customers**

KEY ASSUMPTIONS

1. Users who have zero issues in their first 2 orders are 3× more likely to become long-term, high-value customers.
2. Matching new users with top-rated delivery partners reduces support tickets AND increases the chance they order again.
3. The drop-off from Order 1 → Order 2 is primarily driven by a bad experience, not lack of intent.

PRIORITIZATION (ICE SCORE)

Impact HIGH	Directly tackles the 40% churn problem — the biggest lever available.
Confidence MEDIUM	We need a pilot to validate whether the LTV gain outweighs the added logistics cost.
Ease LOW	Requires the Onboarding and Logistics teams to share logic — currently siloed.

Key Takeaways

01 The problem is systemic — not a marketing failure alone. Fix the delivery experience first.

02 Replace 'Orders/Day' with '30-Day Healthy Repeat Rate' as the North Star.

03 Watch leading indicators (POR, Day 1–7 app opens) before users churn — not after.

04 The strategy must flow: Vision → Goal → Metric → Outcome → Feature (in that order).

05 Priority #1: Guarantee a perfect first experience. Users who don't get disappointed become loyal customers.

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